Behaviour and application scorecard v4: migration note

Credit Risk Modelling | 20 June 2024

From 1 July 2024 all application and behaviour scores are produced on scorecard v4. Scores recorded before that date are on v3 and are not restated in the loan system.

v4 is a recalibration of v3 on the same characteristics with a wider points scale. A v3 score is put on the v4 scale as v4 = 1.12 x v3 - 18, rounded to the nearest whole point.

Worked example: a v3 origination score of 615 converts to 1.12 x 615 - 18 = 670.8, which is 671 on v4.

Application grade bands were re-set on v4 to hold the approval rate, as below. The decline rules and the overrides that use them are in Credit Policy CP-04.

Grade	Minimum score, v3	Minimum score, v4
A	700	766
B	655	716
C	615	671
D	580	632
E	545	592

Validation of v4 on the 2022 to 2023 applications (MV-2024-03) found the rank ordering of the two versions equivalent, with a Gini coefficient of 0.61 for v4 against 0.59 for v3.